

P-12			
PRE BOARD (2024-25)			
CLASS: XII COMM.	SUBJECT/CODE: BUSINESS STUDIES / 054	MAX TIME: 03 HOURS	MAX MARKS: 80
General Instructions: 1. This question paper contains 34 questions. 2. Marks are indicated against each question. 3. Answers should be brief and to the point. 4. Answers to the questions carrying 3 marks may be from 50 to 75 words. 5. Answers to the questions carrying 4 marks may be about 150 words. 6. Answers to the questions carrying 6 marks may be about 200 words. 7. Attempt all parts of the questions together.			

QN	QUESTION	MM
1	A manager in a conscious manner has to ensure that even where members of a department willingly co-operate ,coordination gives direction to the willing spirit." The characteristic of coordination being highlighted above is : (a) Coordination is the responsibility of all managers (b) Coordination is a deliberate function (c) Coordination integrates group efforts (d) Coordination is a continuous process	1
2	"What distinguishes a successful manager from a less successful one is the ability to put the principles into practice." Which aspect of the nature of management is highlighted in the above statement? (a) Management as a science (b) Management as an art (c) Management as a profession (d) Management is an intangible force	1

3	Assertion(A) : Unity of Command affects the entire organisation adversely. Reason (R) : Unity of command prevents dual subordination (a)Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). (b)Both Assertion (A) and Reason (R) are true and Reason (R) is not the correct explanation of Assertion (A). (c)Assertion (A) is true and Reason (R) is false (d)Assertion (A) is false and Reason (R) is true	1						
4	ASSERTION (A) Government of India announced demonetisation on 3rd November, 2016 with profound implication for the Indian economy. REASON(R): It was done basically to curb corruption, counterfeiting the use of high demonetisation notes for illegal activities and specially the accumulation of ‘black money’ generated by income that has not been declared to the tax authorities. (a)Both Assertion (A) and Reason (R) are correct. (b)Assertion (A) is wrong but Reason (R) is correct. (c)Assertion (A) is correct but Reason (R) is wrong. (d)Both Assertion (A) and Reason (R) are wrong	1						
5	The cost of production has increased due to increase in the minimum wage rate by the government is an economic environment. F Maruti Udyog became the leader in the small car market because it, before anyone else, could recognize the need of small cars in an environment of rising petroleum prices and a large middle class population in India. State True or False.	1						
6	Match the Column-I with their respective Statements in column-II. <table><tr><th>Column-I</th><th>Column-II</th></tr><tr><td>(a)Legal Environment</td><td>(i)Smoking is injurious to health</td></tr><tr><td>(b)Social Environment</td><td>(ii)Increasing trend towards e-Commerce.</td></tr></table>	Column-I	Column-II	(a)Legal Environment	(i)Smoking is injurious to health	(b)Social Environment	(ii)Increasing trend towards e-Commerce.	1
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(a)Legal Environment	(i)Smoking is injurious to health							
(b)Social Environment	(ii)Increasing trend towards e-Commerce.							

	(c)Technological Environment (iii)Infosys decides to open schools for lesser privileged children's	
	(a)(ii),(iii),(i) (b)(i),(iii),(ii) (c)(iii),(ii),(i) (d)(i),(ii),(iii)	
7	Airlines will be able to offer the benefits of lower pricing to customers on sectors/routes due to the decision of the civil aviation ministry to remove price caps from August 31,2022. This can help an airline to do better performance if they take early decisions regarding future courses of action after understanding and doing analysis. Which importance of business environment and its understanding by managers is not highlighted above? (a)It helps in improving performance. (b)It helps in assisting in planning and policy formulation. (c)It helps in tapping useful resources. (d)It enables a firm to identify opportunities and get first mover advantage.	1
8	Assertion(A): : Responsibility is derived from authority and accountability is derived from responsibility. Reason(R): Responsibility is the obligation of a subordinate to properly perform the assigned duty, for which he/she has been delegated authority by his/her superior. Once authority has been delegated and responsibility accepted, one cannot deny accountability. (a)Both Assertion (A) and Reason (R) are true. (b)Both Assertion (A) and Reason (R) are false. (c)Assertion (A) is true and Reason (R) is false. (d)Assertion (A) is false and Reason (R) is true.	1
9	Arrange the following steps in the process of organizing in the correct sequence: (i) Assignment of duties. (ii) Departmentalization. (iii) Identification and division of work. (iv) Establishing reporting relationship	1

	(a)-(i); (ii); (iv); (iii) (b)-(iii); (ii); (i); (iv) (c)-(iii); (ii); (iv); (i) (d)-(ii); (iii); (i); (iv)	
10	“Employee know well in advance what they are expected to do and what are the standards of performance on the basis of which they will be appraised, which in turn help them to give better performance.” Which importance of controlling is highlighted above? (a) Facilitating coordination in action (b) Making efficient use of resources (c) Accomplishing organizational goals (d) Improves employee motivation	1
11	Assertion (A): Controlling ensures that resources are used in the most effective and efficient manner. Reason (R): In controlling, each activity is performed in accordance with predetermined standards and norms to reduce wastage and spoilage of resources. In the following questions, a statement of Assertion (A) is followed by a statement of Reason (R). Mark the correct choice as: (a) Both (A) and (R) are true, and (R) is the correct explanation of (A). (b) Both (A) and (R) are true, but (R) is not the correct explanation of (A). (c) (A) is true, but (R) is false. (d) (A) is false, but (R) is true.	1
12	Kavya wants to buy shares of Alex Ltd. which are being traded at National stock exchange. She feels that the share prices will go up in the future which Market should be approach for this purpose? (a) Money Market (b) Primary Market (c) Secondary Market (d) Both b and c	1
13	“One of the functions of the financial Market of providing liquidity to financial assets “.	1

	a. Capital Market b. Money Market c. Primary Market d. Secondary Market	
14	Which of the following explains the meaning of depository? (a) Depository buy shares and securities from a company and sells to the general public at a higher price. (b) Depository is like a bank which keeps securities in electronic form on behalf of investor. (c) Depository holds the funds received in the form of deposits. (d) Depository buys and sells the shares and securities on the instructions of clients.	1
15	Meena's friend Teena works as a chartered Accountant in solutions Ltd. Teena in a meeting with the board of directors of the company came to know that the firm would soon be declaring a bonus issue which would result in increase in the price of shares. Considering this, Teena advised Meena to purchase the shares of solutions Ltd. who acted on her advice and bought the shares before time. Which function of SEBI Can control such malpractices? (a) Protective functions (b) Regulatory functions (c) Development Functions (d) All the Above	1
16		1

	Identify the tool of promotion used by 'Mehta Sons Garments' to boost its sales: (a)Advertising (b)Personal Selling (c)sales Promotion (d) Public Relation.	
17	The marketing management philosophy which uses availability and affordability as a means to achieve the objectives is: (a) Product concept (b) Selling concept (c) Marketing concept (d) Production concept	1
18	Choose the odd one out from the following: (a)Himalayan Ltd. Approaches and selects Neeraj chopra as their endorser for promoting their products through ads and gets those ads telecasted on certain TV channels. (b)Cipla Ltd. Sends their sales representatives to hospital for convincing doctors for recommending their medicines. (c)Himalayan Ltd. Offers 30% discount to customers on protein powder . (d)Wow care Ltd. Produces foam facewash with built in face brush, fixed on neck of bottle of product; due to which one will not have to use his hands for rubbing that foam on face.	1
19	'Manoranjani' is a leading telecommunication company in India. On taking the annual Subscription of a DTH connection the company is charging only for 11 months and offering one month free subscription. Identify the component of promotion mix adopted by the company to boost its sales. (a)Advertising (b)Personal selling (c)Sales promotion (d)Public relation	1

20	Pragati Limited has chalked out an action plan in order to increase its market share in the international market by 20% in the next one year. The action plan contains the details about how the production levels will be increased, promotional activities will be carried out and so on. Identify the type of marketing function being described in the given lines. (a) Gathering and analysing market information (b) Marketing planning (c) Product designing and development (d) Packaging and labelling	1
21	Ashutosh Goenka was working in 'Axe Ltd., a company manufacturing air purifiers. He found that the profits has started declining from the last six months. Profit has an implication for the survival of the firm, so he analysed the business environment to find out the reasons for this decline. (a) Identify the level of management at which Ashutosh Goenka was working. (b) State two other functions being performed by Ashutosh Goenka Or, Explain management as an art do you agree? Give suggestion and support your answer.	3
22	Aakanksha, Nikita and Parishma are the owners of a handicraft unit in the urban area of Dibrugarh in Assam, which is involved in the manufacturing and marketing of Sital Pati, traditional mats and Jappi (the traditional headgear). They decided to shift this manufacturing unit to a rural area with an objective of reducing the cost and providing job opportunities to the locals. They followed the functional structure in this organization with a view to increasing managerial and operational efficiency. They assessed and analysed the type and number of employees required, keeping in mind that they had to encourage the women,	3

	and the people with special needs belonging to the rural area. State the next three steps that they will have to undertake, for obtaining a satisfied workforce for their handicraft unit.	
23	‘Controlling is an indispensable function of management’. Do you agree? Explain any three reasons in support of your answer.	3
24	Charu is a chartered accountant in Prakash Ltd. During the course of meeting with directors she came to know that as against the previous years, this year company is going to declare handsome dividend offer. It is observed that when such news becomes public then the share market jumps up. Considering it, Charu purchased large number of company's share before this news reached the public. (a) Identify the type of malpractice used by Charu. (b) Name the authority which regulates such behaviours. (c) Write the name of three functions of this authority. Or, Identify the markets highlighted in following statements: (i) This market directly contributes to capital market. (ii) This market deals in instrument whose maturity is up to one year. (iii) It deals in medium and long term securities.	3
25	Explain the following: (a) Internship training (b) Induction (c) Transfer (d) Promotion	4
26	Alfa Ltd. was dealing in renewable energy services. To get the business, the team leader and his team used to travel to different states to give presentations to the clients. As per the policy of the company, the team leader used to travel by air whereas his team travelled by road/train. It was not only time-consuming but also	4

	forced the female team members to travel alone at times. As a result, the subordinates were not acting in a desired manner to achieve the organisational goals. The CEO of the company came to know about it. He called the team leader, discussed the matter with him and decided to change the travel policy of the company. It was decided that in future, all the members including the leader would travel together and usefully utilise the travelling time in discussion about the presentation to be given to the clients. This made a positive impact and every member of the team started acting in a manner as desired by the team leader. Identify and State the features of the element of the function of management used by the CEO.	
27	Mr Ekant Miglani, after completing his studies of B.B.A is working in the Production Department of jai chemicals limited'. There are fifty persons working at different posts in this Department. He tries hard to keep a watch over the Routine Activities of all the employees. He observed one of the employees, Bholo ram and a few others working on machines. They were running the machines in a wrong manner. The machines were very sophisticated. Mr Miglani at once explained the right method of working to them. He wanted to solve this problem of the employees for good. He called a meeting of his subordinates. He took this decision that the company will have to organize training of the employee immediately. They also decided all the employees will drop a suggestion each in the suggestion-box daily, so that the different activities of the department may be improved speedily. It was announced that the employees giving valuable suggestions shall be rewarded. Based on the above paragraph answer the following question: (a) Which method of training of the employees will be suitable to be adopted here? Explain. (b) Which style of leadership is being followed by Mr Miglani? (c) Which method of motivation will be decided to be adopted in the meeting of Employees?	4

28	Explain any four Factors affecting the requirement of working capital Or, Explain any four Factors Affecting Capital Structure.	4
29	“This decision is concerned with the rising of finance using shareholders’ funds or borrowed Funds.” Identify the financial decision involved in this decision. Explain any three factors affecting that decision. Or, There are two companies B and D. Total contribution of capital is Rs.40 lakh each. The ratio of equity to total capital in company B is Rs 10 lakh and debt is Rs. 30 lakh while in company D, the total equity capital is Rs. 40 lakh, sourced through equity. EBIT is Rs.8 lakh, the interest rate on debt is @ 10% and the tax rate is 30%. Which company enjoys favourable financial leverage?	4
30	Rahul purchased a smart phone for ₹30,000 from a mobile phone seller on his verbal commitment that the smart phone will be replaced in case of any defect, within a span of six months. The phone started creating technical issues in spite of proper maintenance and upkeep of the phone. The seller denied taking any action on the complaint made by Rahul. (a) Name the redressal agency under the Consumer protection Act where Rahul can file his complaint. State the reason. (b) Enumerate any four responsibilities of a consumer under Consumer Protection Act, 2019.	4
31	Explain the nature of management principles.	6
32	‘Though planning is an important tool of management, yet it is not a remedy for all types of problems’. Do you agree with this statement? Give any five reasons in support of your answer. Or,	6

	Kanu is appointed as factory manager in a gel pen manufacturing company. He was given a target of producing one lakh gel pens per month. He knew that 'the essence of management is to achieve desired results' but he does not know 'how to ensure that the work goes on according to plans'. Guide him by explaining the process so that he will be able to achieve the desired results.	
33	E-Solution Ltd. started its operations in the year 2000. At the time of its inception, the company had only ten employees with two departments, a Production department and an Administration department. The products supplied and the services provided by the company started gaining popularity over the years. The management had faith in the abilities of the employees and thus they allowed them freedom of action. The management recognized that the decision-makers at different levels of the organization need to be given more autonomy. They took a policy decision that there will be less control of superiors over subordinates. This increased the role of the subordinates in the organization and now they were in a position to take numerous as well as important decisions. As a result, its business has diversified into many areas. Presently, it has operations throughout the country with seven branches overseas. Its organizational structure has now changed into divisional structure and ten thousand people are working with the company. (a) Identify the concept of management which helped the company to diversify into many areas and branches abroad. (b) Explain five points of importance of the concept identified in (a) above. Or, Aradhana and Gandharv are heads of two different departments in Yumko Ltd. they are efficient managers and are able to motivate the employees of their respective departments to improve performance. However, their drive to excel in their own	6

	sphere of activity instead of giving emphasis on objectives of the enterprise has hindered the interaction between the departments that Aradhana and Gandharv are heading. Often there are inter-departmental conflicts and they have become incompatible. This has proved to be harmful in the fulfillment of the organizational objectives. The situation has deteriorated to such an extent that the CEO of Yumko Ltd. has hired a consultant Rashmi, to resolve the problem. After studying the situation closely, Rashmi found that the problem has arisen due to inflexibility and a narrow perspective on the part of both Aradhana and Gandharv. She is of the view that this situation is a result of the type of organizational structure Yumko Ltd. Has adopted. Identify the organizational structure adopted by Yumko Ltd. State any two advantages and three disadvantages of the structure so identified.	
34	Explain the functions of marketing?	6